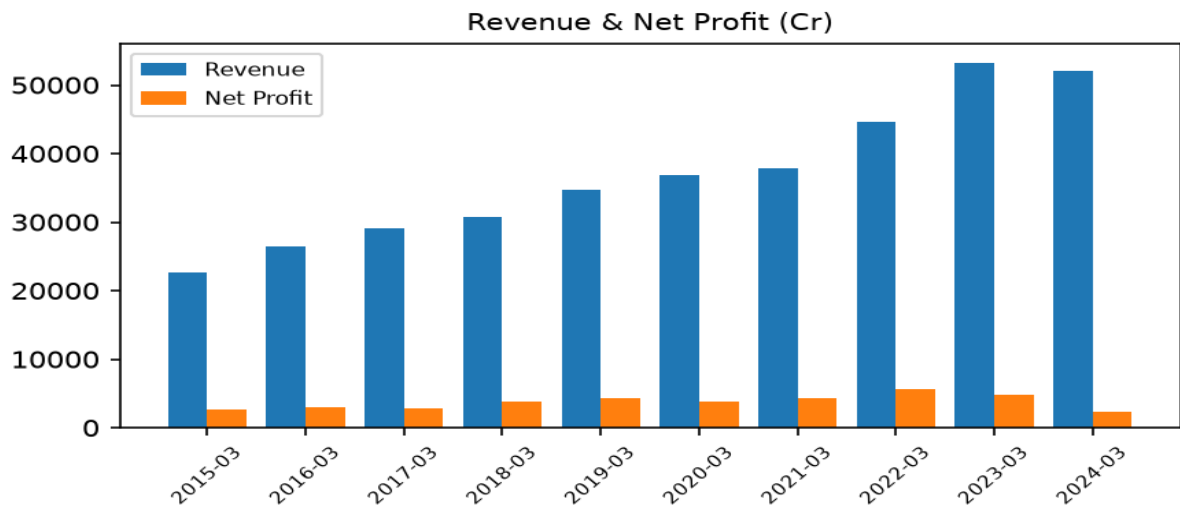


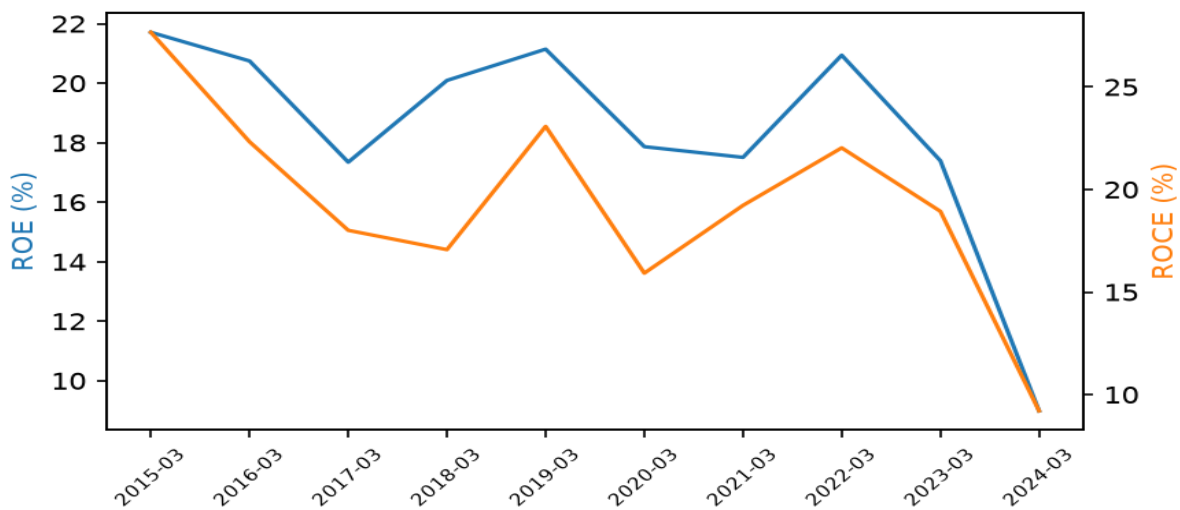
Tech Mahindra Ltd (TECHM)

ROE 9.0%	ROCE 9.2%	Net Profit Margin 4.6%
D/E 0.1	Revenue CAGR 5yr 8.4%	Free Cash Flow (Cr) 5058.0

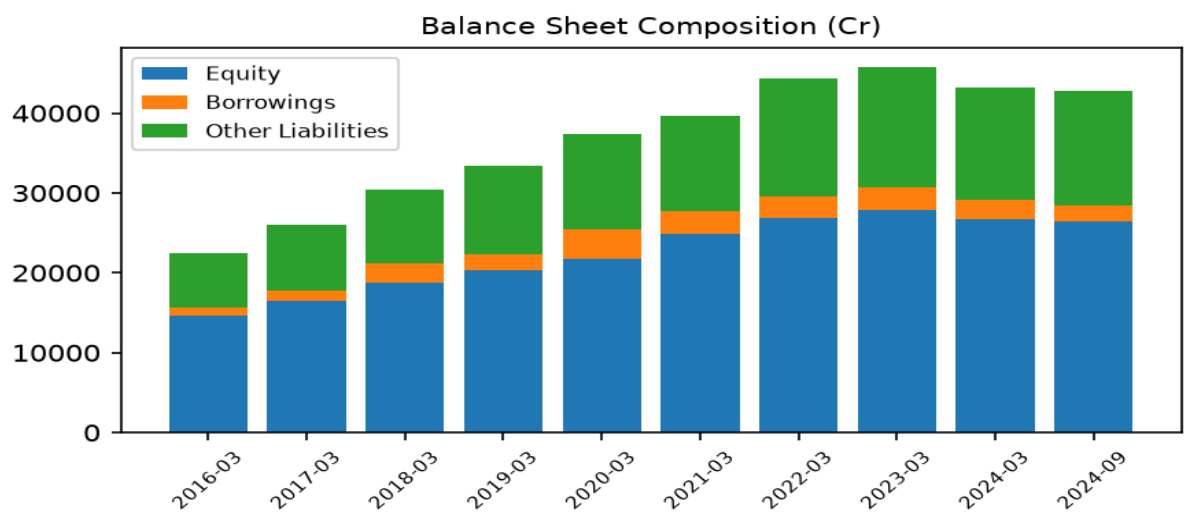
Revenue & Net Profit (10yr)



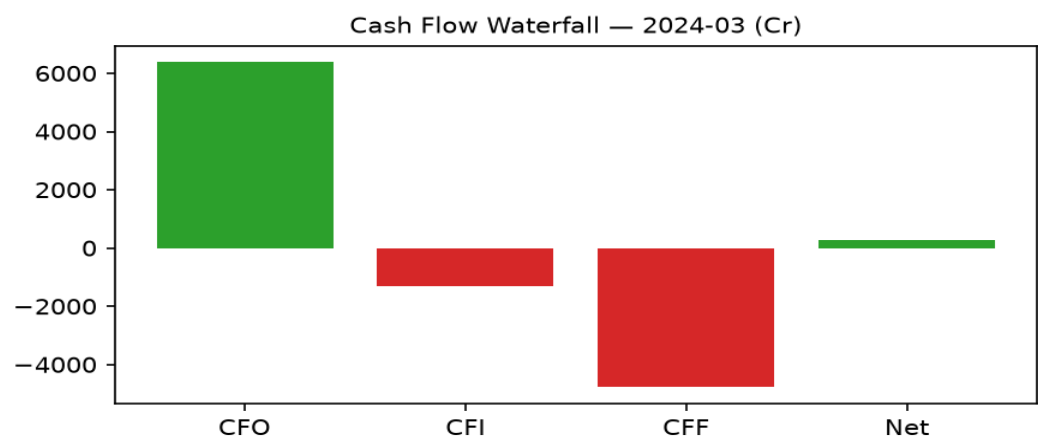
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend yield above 2% backed by positive free cash flow

Cons

- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- ✗ Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- ✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Shareholder Returns